

The 'Pyramid Trading' tool is not as much a technical analysis tool it is a trading technique. This is one of the most simple tools to follow. This is built around the theory that in an advancing market, the asset price will form multiple highs and each high will be higher than the previous high. Similarly, in a declining market, the market will form multiple lows and each low will be lower than the previous low. Based on this theory, pyramid analysis is done and positions are taken.

This is suitable over longer-term only. This is because, in the shorter term, markets are affected by a lot of factors. However, in longer-term, many of these factors get neutralized and the primary trend holds up. By long term, we mean a few months as compared to intraday trades. To understand the concept of pyramid trading, we will have to understand the concept of higher highs, lower high, lower low and higher low. We will use these together to understand pyramid trading in greater detail going ahead.

Whenever the market rises, it does not do so in a single straight line. The primary trend is upwards. However, the market will have multiple short terms upward and downward secondary trends. So, in the case of pyramid theory, we will mainly be concerned with the secondary trend forming these patterns. Let us move forward and understand these better.

